BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA

Application of Southern California Edison Company (U 338-E) to Establish Marginal Costs, Allocate Revenues, and Design Rates.	Application No. 24-03-019 (Filed March 29, 2024)

RESPONSE OF THE VEHICLE GRID INTEGRATION COUNCIL TO THE APPLICATION OF SOUTHERN CALIFORNIA EDISON COMPANY (U 338-E) TO ESTABLISH MARGINAL COSTS, ALLOCATE REVENUES, AND DESIGN RATES

Zach Woogen
Interim Executive Director
Vehicle-Grid Integration Council
10265 Rockingham Dr.
Suite #100-4061
Sacramento, California 95827
Tel: (510) 665-7811
Email: vgicregulatory@vgicouncil.org

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In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission ("Commission"), the Vehicle Grid Integration Council ("VGIC") hereby responds to the *Application of Southern California Edison Company* ("SCE") *(U 338-E) to Establish Marginal Costs, Allocate Revenues, and Design Rates* ("Application"). Pursuant to Rule 2.6 of the Rules of Practice and Procedure, VGIC timely files this response on May 8, 2024.

I. INTRODUCTION.

A. Overview of VGIC

VGIC is a 501(c)6 membership-based advocacy group committed to advancing the role of electric vehicles ("EVs") and vehicle-grid integration ("VGI") through policy development, education, outreach, and research. VGIC supports the transition to decarbonized transportation and electric sectors by ensuring the value from EV deployments and flexible EV charging and discharging is recognized with appropriate incentives and compensation to achieve a more reliable, affordable, and efficient electric grid.

B. VGIC generally supports the increased use of export compensation as an option for retail rate customers with EVs.

As a general principle, VGIC supports export compensation options for EV customers. VGIC believes that incentives and export compensation options – if designed appropriately – and other VGI strategies can help contribute to the following policy objectives:

- reduce costs to ratepayers, including both EV owners and non-EV customers,
- advance the state's transportation electrification goals by reducing the total cost of EV ownership,
- support grid reliability, including during extreme heat events or other times of high stress on the grid,
- support customer and community resiliency, including during Public Safety Power Shutoffs ("PSPS") and other resilience events, and
- foster a growing market for VGI services.

VGIC appreciates SCE's effort to develop its Vehicle-to-Grid Resource Proposal ("VGRP") and commends the company for being the first California investor-owned utility ("IOU") to propose a static time-of-use ("TOU") export rate designed for EV customers, as detailed in SCE's Policy and Rate Design Application.[1] VGIC continues to review the specific details of SCE's proposal; however, based on its initial review, VGIC believes the proposal could be a constructive step toward encouraging more EV customers to purchase, install, and use V2G bidirectional charging equipment.

VGIC believes the VGRP rate design should be enhanced to align with the vision of Senate Bill 676, which adopts that California must "maximize the use of feasible and cost-effective

[1] SCE-01 at 25; SCE-04 at 121-138.

electric vehicle grid integration by January 31, 2030."[2] VGIC stresses that Commission decisions supporting VGI strategies, including those found in elements of the proposed VGRP, are critical for manufacturers and service providers to accelerate product development, technology standardization and integration, and customer acquisition activities.

II. <u>ISSUES TO BE CONSIDERED.</u>

A. Avoided Cost Calculator ("ACC") components included in VGRP export rate.

In its Application, SCE explains that the proposed VGRP rate: "is determined by using specific avoided cost components of the CPUC's Avoided Cost Calculator (ACC)."[3] SCE's Prepared Testimony further states that:

> "SCE's export price <u>*includes*</u> the following five components from the CPUC's ACC: (1) GHG Cap and Trade (Marginal Emissions); (2) Generation Energy; (3) Generation Capacity; (4) Ancillary Services Procurement; and (5) Losses. Because SCE's proposal is intended as a first step on the path to enabling this still nascent market segment, the following ACC components are <u>*not included*</u> in SCE's V2G export price: (1) GHG Adder (Marginal Emissions); (2) GHG Portfolio Rebalancing; (3) Transmission; (4) Distribution; and (5) Methane Leakage. As the market matures, SCE expects price valuation to further evolve in support of the potential array of services that can be harvested from EV exports to support the grid."[4]

While SCE makes clear its proposal to limit the applicable ACC components, its testimony does not explain why certain components are included, and others are excluded. For example, the generation capacity ACC component is included, but the transmission and distribution ACC components are excluded. Notably, Decision ("D.") 20-12-029 *Concerning Implementation of Senate Bill 676 and Vehicle-Grid Integration Strategies* details the generation, transmission, and

[2] Senate Bill 676. Section 1.
[3] SCE-04 at 132-133.
[4] *Id.* at 133.

distribution benefits of V2G exports.[5] Specifically, the Commission adopts a definition for VGI that explicitly includes "avoiding otherwise necessary distribution infrastructure upgrades."[6] Moreover, SCE has displayed leadership in export rate design in its Dynamic Rate Pilot, which compensates exports, including V2G exports, under a rate that includes a distribution component.[7] Similarly, V2G exports in Pacific Gas & Electric ("PG&E") Dynamic Rate Pilot Phase 2[8] and V2X Pilots Phase 2[9] will be compensated under an export rate that includes a distribution component. It is unclear, based on SCE's Application and Prepared Testimony, why it did not maintain consistency with its only other V2G export rate (i.e., Dynamic Rate Pilot) and PG&E's approach of including a distribution component in the export rate. As such, VGIC strongly urges the Commission to consider whether the VGRP should include a different set of ACC components in its rate design to better align with SCE and PG&E's emergent V2G export rate design and induce the desired response from participating V2G customers.

B. Alignment of VGRP Time-of-Use (TOU) window with 4 P.M. to 9 P.M. SCE Rate Design Window.

SCE proposes a VGRP export rate that "generally aligns with [customers'] current on-peak and off-peak TOU periods on the retail rates."[10] However, Table IX-31 *Illustrative VGRP Export Rate* indicates an On-Peak window of 6 P.M. to 9 P.M.,[11] and SCE states, regarding the VGRP

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[5] D.20-12-029 at 7-13.
[6] *Id.* at 12.
[7] See, for example, SCE Advice Letter 4684-E *SCE's Dynamic Rate Pilot Pursuant to D.21-12-015.* January 5, 2022. https://www.dret-ca.com/wp-content/uploads/2022/02/Advice-Letter-4684-E.pdf and D.24-01-032 *To Expand System Reliability Pilots of PG&E and SCE.* January 26, 2024. https://docs.cpuc.ca.gov/PublishedDocs/Published/G000/M524/K176/524176497.PDF. Pg. 36.
[8] *Id.* at 8-36.
[9] PG&E Advice Letter 6694-E. *Rate Structured for Vehicle Grid Integration Pilots.* September 2, 2022. https://www.pge.com/tariffs/assets/pdf/adviceletter/ELEC_6694-E.pdf
[10] SCE-04 at 133.
[11] *Id.* at 134.

customer credit estimate in Table IX-32, that "The estimates also assume that a residential customer will first offset the average summer total site load of 6.75 kWh on a weekday and 6.73 kWh on a weekend for the time-period from 6 – 9 p.m.…"[12] SCE does not detail why the 6 P.M. to 9 P.M. window indicated in the VGRP section is inconsistent with the 4 P.M. to 9 P.M. peak window indicated elsewhere in SCE's application and applicable for the TOU rates under which VGRP participants would be importing electricity. As such, VGIC recommends the Commission consider the appropriateness of aligning the VGRP export TOU window with the other applicable TOU windows, including the window for VGRP customers' charging.

C. Clarification of dual participation rules for VGRP customers.

In prepared testimony, SCE proposes eligible VGRP customers include bundled non-lighting residential, commercial, industrial, and agricultural & pumping customers. Residential VGRP customers must take service under either PRIME or PRIME Plus, and non-residential customers must take service under a currently available TOU rate plan.[13] Additionally, customers enrolled in NEM and NBT would be eligible to enroll in VGRP. However, SCE does not address whether customers may also enroll in utility-administered demand response ("DR") or VGI programs. For example, the Emergency Load Reduction Program ("ELRP"), currently authorized through 2027 per D.23-12-005,[14] presents an opportunity for V2G customers to receive

[12] *Ibid*.
[13] *Id.* at 131.
[14] D.23-12-005. *Decision Directing Certain Investor-Owned Utilities' Demand Response Programs, Pilots, and Budgets for the Years 2024-2027.* A.22-05-002. December 20, 2023. https://docs.cpuc.ca.gov/PublishedDocs/Published/G000/M521/K486/521486520.PDF

compensation for emergency reliability contributions.[15] VGIC believes that resources should not be double counted nor receive double compensation. However, dual participation mechanisms are currently being developed as directed by the Commission to guard against double counting/compensation, and these mechanisms will apply to V2G export customers participating in both retail export rates and ELRP.[16] These mechanisms are developing because the Commission recognized the grid and customer values stemming from dual participation. Customers could offer separate services through both VGRP and ELRP or other utility-administered DR/VGI programs, which would maximize the ability for EVs to support grid reliability and affordability while also maximizing feasible and cost-effective VGI, per SB 676, and transportation electrification more broadly.

This proceeding should clarify dual participation rules for customers participating in SCE's proposed VGRP, including dual participation in ELRP or other relevant DR and/or VGI programs while ensuring contributions are not double counted or double compensated.

D. Roles of V2G Net Generation Output Meter ("V2G-NGOM") and Commission's Plug-In EV Submetering Protocol customers enrolled in VGRP.

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[15] D.21-12-015. *Decision Directing PG&E, SCE, and SDG&E to Take Actions to Prepare for Potential Extreme Weather in the Summers of 2022 and 2023.* R.20-11-003. December 6, 2021. https://docs.cpuc.ca.gov/PublishedDocs/Published/G000/M428/K821/428821475.PDF. Pg. 34-41.

[16] *See,* D.24-01-032 *To Expand System Reliability Pilots of PG&E and SCE.* January 26, 2024. https://docs.cpuc.ca.gov/PublishedDocs/Published/G000/M524/K176/524176497.PDF. Pg. 58-64 and PG&E Advice Letter 7223-E: *Dual Participation in PG&E's Agricultural Pilot and Expanded Pilot 2.* March 25, 2024. https://www.pge.com/tariffs/assets/pdf/adviceletter/ELEC_7223-E.pdf

In prepared testimony regarding the VGRP, SCE explains that a V2G-NGOM will "act in concert with SCE's main retail meter to determine exports from the EV separately from exports from the NEM or NBT eligible resource."[17] SCE further states:

> "for customers ***without*** <u>*NEM or NBT eligible systems (solar systems),*</u> where a bidirectional V2G resource(s) is installed on the customer site, the V2G-NGOM will be used to measure the EV exports and will prepare the customer for any future NBT installations."[18]

Based on these details, it is unclear whether SCE proposes to use a V2G-NGOM for all VGRP sites or only for VGRP sites using NEM or NBT-eligible systems or other distributed energy resources ("DERs") like stationary energy storage. This proceeding should weigh whether a V2G-NGOM is required for all VGRP sites or just for certain VGRP sites with co-located DERs.

Additionally, in Decision ("D.") 22-08-024, the Commission adopts a *Plug-In Electric Vehicle Submetering Protocol* ("Submetering Protocol") and states that "DCFC and bidirectional charging and discharging are eligible for submetering if submeters meet the requirements of this decision."[19] Given the eligibility of bidirectional charging and discharging for submetering in the Submetering Protocol, one important issue that should be considered in this proceeding is the role of the Submetering Protocol in measuring EV exports for VGRP participants.

III. <u>CATEGORIZATION, HEARINGS, AND SCHEDULE.</u>

VGIC agrees that this Application should be categorized as a "ratesetting" proceeding. VGIC also agrees that evidentiary hearings are likely necessary.

IV. <u>SERVICE.</u>

[17] SCE-04 at 131.
[18] SCE-04 at 131-132.
[19] D.22-08-024 at 34.

Service of notices, orders, and other correspondence in this proceeding should be directed to VGIC at the address set forth below:

Zach Woogen

Vehicle-Grid Integration Council

10265 Rockingham Dr., Suite #100-4061

Sacramento, California 95827

Tel: (501) 665-7811

E-mail: vgicregulatory@vgicouncil.org

V. CONCLUSION.

VGIC appreciates the opportunity to submit this response to SCE's General Rate Case Phase 2 Application. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

/s/ Zach Woogen
Zach Woogen
Interim Executive Director
Vehicle-Grid Integration Council
10265 Rockingham Dr.
Suite #100-4061
Sacramento, California 95827
Tel: (510) 665-7811
Email: vgicregulatory@vgicouncil.org

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